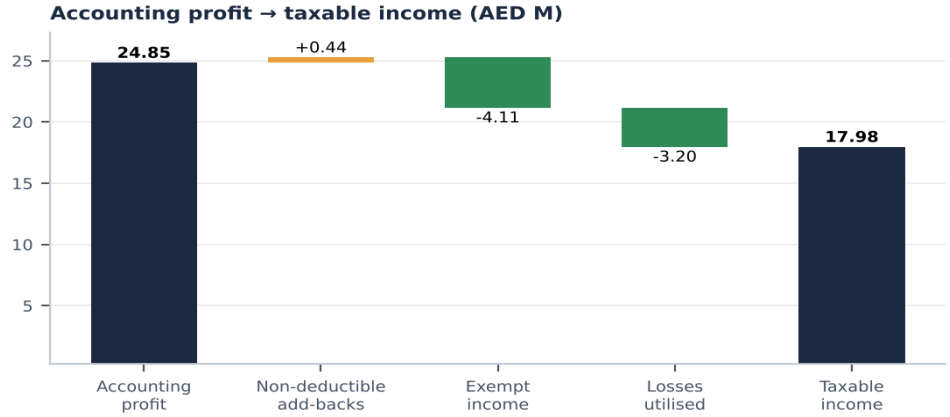
Corporate tax position — FY2025

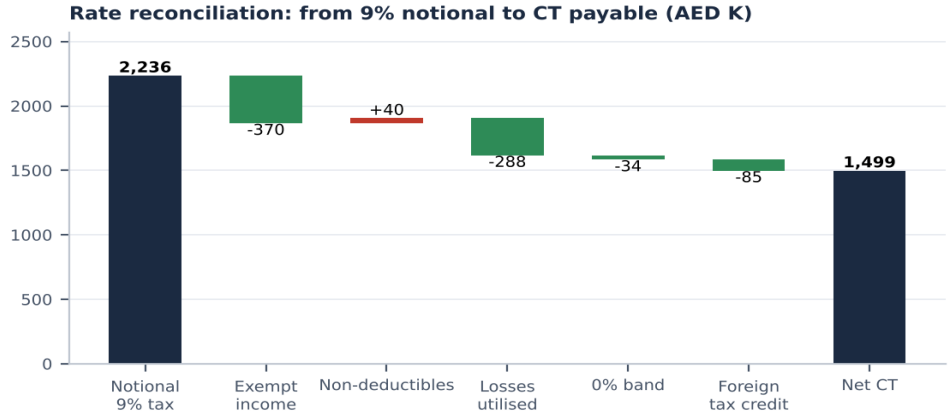
Meridian Gulf Trading LLC (illustrative) · mainland entity · 1 Jan – 31 Dec 2025 · AED · prepared from UAE_Corporate_Tax_Computation.xlsx

ACCOUNTING PROFIT	TAXABLE INCOME	NET CT PAYABLE	EFFECTIVE RATE	TAX SAVED: EXEMPT INCOME	INTEREST HEADROOM
AED 24.85M	**AED 17.98M**	**AED 1.50M**	**6.03%**	**AED 370K**	**AED 11.03M**
before tax	72% of accounting profit	after foreign tax credit	vs 9.00% headline	participation exemption	under de-minimis AED 12M

Key messages

- Accounting profit of AED 24.85M converts to taxable income of AED 17.98M after add-backs of AED 0.44M, exempt income of AED 4.11M and loss relief of AED 3.20M.
- Net corporate tax payable is AED 1,499,135 — an effective rate of 6.03% versus the 9% headline, driven mainly by the participation exemption (AED 370K saved) and loss relief.
- Policy leakage: non-deductible items cost AED 40K of tax; the largest drivers are in Adjustment_Summary (entertainment, general provisions, non-qualifying donations).
- Interest: net interest expense is within the AED 12M de-minimis (headroom AED 11.03M), so no limitation applies. Brought-forward losses were fully utilised in the year.

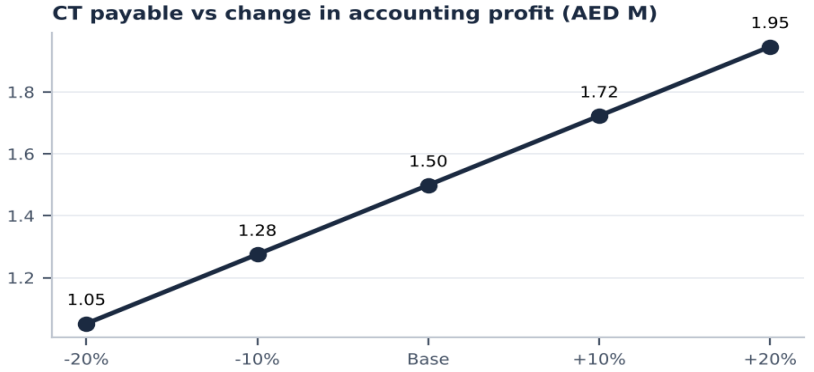




Drivers and sensitivity

Largest add-backs

Add-back account	Code	Lines	Add-back (AED)
Client entertainment	DIS50	47	154,016
Provision for doubtful debts (general)	DIS100	8	150,096
Donations - non-qualifying	DIS100	13	67,568
Related-party management fee (non-arm's length excess)	TP	1	25,572
Fines & penalties	DIS100	11	25,428
Owner/shareholder personal expenses	DIS100	2	17,585



Sensitivity to profit

Profit change	-20%	-10%	Base	+10%	+20%
Taxable income	13.01M	15.49M	17.98M	20.46M	22.95M
Net CT payable	1.05M	1.28M	1.50M	1.72M	1.95M
Effective rate	5.29%	5.70%	6.03%	6.30%	6.53%

Computation and interest test

Computation line	AED
Total income (accounting)	69,279,628
Total expenses (accounting)	44,433,390
ACCOUNTING PROFIT BEFORE TAX	**24,846,239**
Add: non-deductible expenses (100%)	260,677
Add: entertainment (50% disallowed)	154,016
Add: transfer-pricing adjustment	25,572
Less: exempt dividends (qualifying participations)	-2,790,000
Less: exempt capital gains (qualifying shareholdings)	-1,320,000
Add: donations in excess of cap	0
Add: interest limitation disallowance	0
TOTAL ADJUSTMENTS	**-3,669,735**
TAXABLE INCOME BEFORE LOSSES	**21,176,504**
Brought-forward tax losses	3,200,000
Losses utilised	3,200,000
Losses carried forward	0
TAXABLE INCOME	**17,976,504**
Taxable income taxed at 0%	375,000
Taxable income taxed at 9%	17,601,504
Corporate tax at 9%	1,584,135
Less: foreign tax credit (capped at liability)	-85,000
NET CORPORATE TAX PAYABLE	**1,499,135**

Interest limitation test	AED
Interest expense (treatment INTLIM)	1,384,148
Less: interest income	410,000
Net interest expense	974,148
TAX EBITDA	23,719,435
30% of tax EBITDA	7,115,831
De-minimis threshold	12,000,000
Deductible interest cap (greater of)	12,000,000
DISALLOWED INTEREST	0
Result	Within de-minimis / cap

Risks, actions and control

Principal risks

- Participation exemption: AED 4.11M of exempt income relies on holding-period (12 months) and ownership (≥5%) evidence — keep board minutes and share certificates on file.
- Add-backs of AED 440K arise from fines, general provisions, personal items, 50% entertainment and a transfer-pricing excess — tax cost AED 40K.
- Brought-forward losses (AED 3.2M) are fully absorbed in FY2025 — no shield remains for FY2026.
- Related-party management fee exceeds arm's-length price: maintain transfer-pricing documentation and disclose related-party transactions in the return.

Recommended actions

- File the FY2025 return and pay the net CT liability within 9 months of year-end; accrue the liability in the accounts.
- Introduce a policy ban on non-business spend and a quarterly review of general provisions to cut non-deductible leakage.
- Document the arm's-length basis for the management fee (benchmarking study) before the next filing.
- Model FY2026 tax with no loss shield: expect the effective rate to rise toward 7–8% on the same profit mix.

Model integrity

ALL CHECKS PASS — 9 checks incl. profit = ledger P&L; effect, adjustments = register, rate reconciliation = computation, sensitivity base = computation. Rules summarised from Federal Decree-Law No. 47 of 2022 for illustration; confirm against current law and Ministerial Decisions before filing.